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EDITORIAL

McClatchy Media's California editorial board

Prop. 2 seeks to help California weather the next economic downturn. How we voted

If passed, Proposition 2 would allow California to set aside a larger share of its tax revenues, raising the state's "rainy day" fund cap from 10% to 20% of annual collections. The goal would be to better prepare California for inevitable economic downturns and avoid across-the-board cuts to public services that have marked past recessions.

The ballot measure would also permit some of these reserves to be used for paying down state debts, including the $20 billion still owed to the federal government for unemployment benefits borrowed during the height of the pandemic. While supporters see Prop. 2 as responsible planning for the future, critics argue it could allow lawmakers to keep more tax revenue rather than return it to taxpayers or fund immediate needs.

Assemblymember Joe Patterson, R-Rocklin, argued against putting Prop. 2 on the ballot. He and other GOP critics see Prop. 2 as a vehicle for getting around voter-approved spending limits in California.

"All this does is create a bigger slush fund for money to be used in the following years instead of returning the money to the taxpayer.," said Patterson earlier this year.

This board has endorsed Patterson in previous election cycles. He's a good legislator, but we don't agree with him on Prop. 2.

The collective editorial boards of The Sacramento Bee, Modesto Bee, Merced Sun-Star, Fresno Bee and San Luis Obispo Tribune endorse a "yes" vote on Prop. 2 because, as the California Budget & Policy Center wrote, a larger reserve fund would help state leaders better protect vital services when revenues decline during economic downturns and reduce the need for draconian spending cuts that harm Californians.

Assemblymember Jesse Gabriel agrees.

"I think government can be a force for good, but we've got to be smart about how we spend people's dollars," Gabriel told us. "That's exactly what Prop. 2 is about. It's about being smart stewards of state resources."

Under Prop. 2, saving wouldn't count as "spending" until the money is actually withdrawn and used. That's not a scheme to grow government; it's a common-sense change to make sure California can weather the next downturn without panic cuts and emergency tax hikes.

"This proposition is not necessarily about this year's budget, but it is about making sure that if there's a fire in your community five years from now, the fire department's going to be resourced and able to show up and protect you," Gabriel told the editorial board. "Or that if we have more aggressive attacks from the federal government, we'll have the ability to backfill some of that, make sure people get their health care, can be fed and make sure government is able to be there to protect our communities."

This is a critical moment for California to modernize its approach to fiscal responsibility. A vote for Prop. 2 would help California prepare for economic downturns, update outdated budget rules and protect vital public services.

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CITATION (APA STYLE)
(2026, September 24). *Merced Sun-Star Today's Edition, The (CA)*, p. 38. Available from NewsBank: Access World News – Historical and Current: https://infoweb-newsbank-com.castatelib.idm.oclc.org/apps/news/document-view?p=WORLDNEWS&docref=image/v2%3A19BD5306C2651D08%40AWNB-1AAD3776EDB4A43D%402461308-1AAD378580A7CC16%4037-1AAD378580A7CC16%40.

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